



Driving Bilateral Growth Through Commerce and Innovation



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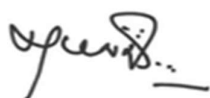
Foreword

The Chamber of Commerce and Industry of India (CCI India) mandate to generate rigorous, policy-relevant research that informs the decisions of government ministries, industry associations, and the business community. Bilateral trade between India and Russia reached a record USD 68.69 billion in the 2025-26 fiscal year, with both governments having set an ambitious target of USD 100 billion in trade and USD 50 billion in mutual investment by 2030. Realising this target will require sustained institutional facilitation, sector-specific engagement, and a far more diversified trade basket than the energy-dominated composition that characterises bilateral commerce today.

This report examines Russia not merely as a source of energy and defence cooperation but as an economy in transition, one that is recalibrating its industrial base, technology partnerships, and trade orientation toward Asia. It identifies concrete opportunities for Indian enterprises, particularly micro, small and medium enterprises (MSMEs) and startups, across sectors ranging from agricultural machinery and pharmaceuticals to fintech, renewable energy, and the digital economy. Equally, it addresses candidly the structural challenges Russia faces, including the effects of international sanctions, demographic pressures, and constraints on technology access, and it examines what these challenges mean for Indian businesses seeking to engage with the Russian market.

A central objective of this report is to define, in concrete and actionable terms, the role that CCI India can play as an institutional bridge between the two economies. Trade promotion, investment facilitation, sector-specific task forces, startup exchange programmes, MSME partnerships, and knowledge-sharing platforms are among the mechanisms through which CCI India intends to contribute meaningfully to bilateral economic cooperation over the coming decade. This report should be read not as an academic exercise but as an institutional roadmap for action.

I extend my appreciation to the Research and Data Analytics team at CCI India for their diligence in compiling this report, and I commend it to policymakers, industry leaders, and the wider business community as a reference document for India-Russia economic engagement in the years ahead.

Munindra Kumar
Director General
CCI India

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RUSSIA

“ Discover vast landscapes, historic cities, and cultural depth through long journeys.



Basic Facts and Economic Overview

Russia is the largest country in the world by land area, spanning Eastern Europe and Northern Asia, with Moscow as its capital. As of 2025 projections, Russia's population is approximately 143–145 million.

Russia is classified as an upper-middle-income economy with a strong resource-based economic structure. It is one of the world's leading producers of oil, natural gas, and minerals. The economy is heavily dependent on energy exports, though it also has significant industrial and defense sectors. Recent geopolitical developments and sanctions have led to economic adjustments, including diversification toward Asia and strengthening domestic industries.

Economy — GDP, Structure & Recent Performance

Russia's nominal GDP is estimated at approximately USD 2.5–2.6 trillion (2025).

- Sectoral Composition: Services: ~65–68%
- Industry (Energy, Manufacturing): ~25–27%
- Agriculture: ~5–6%

Economic growth has been moderate, around 1–2%, with resilience supported by energy exports and domestic demand. Sanctions have significantly influenced trade patterns and economic policy.

Bilateral Trade with India

Trade between India and Russia has expanded significantly, estimated at approximately USD 68–70 billion annually (2024–25), largely driven by energy imports.

India imports crude oil, fertilizers, and defense equipment, while exporting pharmaceuticals, machinery, and agricultural products.

Population

Russia's population is approximately 144 million, with a declining trend due to demographic challenges. Major cities include Moscow and Saint Petersburg, which serve as economic and cultural hubs.



“ Cultural and Heritage

The culture and heritage of Russia are rich and deeply rooted in history, art, and tradition. Russia is famous for its classical music, ballet, literature, and beautiful architecture. The country has a strong cultural identity shaped by Orthodox Christianity, folk traditions, and royal history. Historic landmarks like the Kremlin and colorful churches reflect its artistic and architectural heritage. Russian festivals, traditional dances, and handmade crafts continue to preserve its unique cultural legacy.

Import and Export from India

Russia imports pharmaceuticals, machinery, chemicals, and consumer goods, some of which originate from India either directly or through intermediaries. Direct exports from Russia to India include crude oil, fertilizers, and defense-related equipment, with additional trade routed through global supply chains.

Strategic Importance and Key Observation

Russia is strategically important as a major energy supplier and a key geopolitical power, playing a critical role in global oil and gas markets as well as regional stability. Its vast natural resources and influence across Eurasia make it an essential partner in energy security and international diplomacy. For India, engagement with Russia remains significant for securing energy supplies, maintaining strategic balance, and advancing long-term economic and defense cooperation.

Opportunities and Risks for Indian Businesses

Opportunities:

- Energy and oil trade
- Defense and strategic cooperation
- Pharmaceuticals and agriculture

Risks:

- Geopolitical tensions and sanctions
- Currency volatility
- Trade restrictions



Cultural and Strategic Economic Ties

India and Russia share a long-standing strategic partnership, particularly in defense, energy, and nuclear cooperation. The relationship is anchored in decades of trust and high-level political engagement, with Russia being a key supplier of defense equipment and a major partner in energy projects, including oil, gas, and nuclear power. Both countries continue to deepen cooperation through joint ventures, technology transfer, and expanding trade under evolving global dynamics.

Conclusion – Summary & Recommendation

Russia remains a resource-rich strategic partner for India, particularly in oil, gas, and nuclear energy, and in defense-industrial cooperation. However, the relationship faces two structural pressures that this paper's recommendations must account for: first, a pronounced trade imbalance (India's imports from Russia outweigh exports roughly 13:1), which both governments have flagged as requiring urgent correction; and second, tightening US sanctions and tariff measures that are actively reducing India's Russian crude imports as of 2025–26.

India should therefore pursue energy diversification and deepened defense-industrial cooperation while treating current Russian supply volumes as a moving target rather than a stable baseline — and should calibrate this engagement against the larger economic stakes tied to its Western trade and financial relationships.

Chapter 1: Russia at a Glance

The Russian Federation is the largest country in the world by land area, spanning eleven time zones across Eastern Europe and Northern Asia. It is a resource-rich, industrially diversified economy with deep strategic significance for India, both as a long-standing defence and energy partner and as an emerging market for diversified Indian exports.

1.1 Geography and Demographics

Indicator	Detail
Land Area	17.1 million sq. km (largest country in the world)
Capital	Moscow
Population	Approximately 146.1 million (2024 census)
Major Cities	Moscow, Saint Petersburg, Novosibirsk, Yekaterinburg, Kazan
Time Zones	11
Official Language	Russian
Currency	Russian Rouble (RUB)
Land Borders	Shares borders with 14 countries, including China, Kazakhstan, and several EU and CIS states

Russia's vast geography gives it access to the Arctic, the Pacific, the Baltic, and the Black Sea, positioning it as a natural link between European and Asian markets. This geographic breadth is central to Russia's ongoing strategy of reorienting trade infrastructure, including the International North-South Transport Corridor (INSTC), toward Asian partners including India, Iran, and the states of Central Asia.

1.2 Political System

Russia is a federal semi-presidential republic comprising 89 federal subjects, including republics, oblasts (regions), krais (territories), and federal cities. Executive authority is vested in the President, who is head of state, with the Chairman of the Government (Prime Minister) heading the federal executive. The Federal Assembly, comprising the State Duma (lower house) and the Federation Council (upper house), constitutes the legislative branch. For Indian businesses, the federal structure means that engagement often requires parallel attention to federal policy in Moscow and regional economic administrations, particularly for manufacturing, agriculture, and resource-sector investments located outside the capital.

1.3 Economic Snapshot

Indicator	2025 Estimate	Source
Nominal GDP	USD 2.54 trillion (9th largest globally)	IMF WEO, October 2025
GDP at PPP	USD 7.14 trillion (4th largest globally)	IMF WEO, October 2025
GDP per Capita (Nominal)	Approximately USD 17,446	IMF WEO, October 2025
GDP Growth	Approximately 1.0-1.1 per cent (2025-26f)	IMF / Trading Economics
Inflation (CPI)	Approximately 5.9 per cent (2025)	Rosstat / market estimates
Key Export Commodities	Crude petroleum, refined petroleum, natural gas, coal, wheat, fertilisers, metals	Wikipedia/Comtrade compilation

Russia's economy remains structurally dependent on natural resource exports, with industry contributing approximately 27 per cent of GDP and services approximately 68 per cent. Agriculture, while a smaller share of GDP, has grown in strategic importance following Russia's emergence as the world's leading wheat exporter. The economy has demonstrated resilience in the face of extensive international sanctions imposed since 2022, sustained substantially by redirected energy exports to Asia, import substitution in select industrial sectors, and expanded fiscal support for defence-linked manufacturing.

1.4 Natural Resources

Russia possesses among the world's largest reserves of natural gas, the second-largest proven oil reserves outside the Middle East, and substantial deposits of coal, gold, diamonds, nickel, palladium, and rare earth elements. This resource endowment underpins Russia's role as a critical supplier to global energy and metals markets and forms the foundation of its current trade relationship with India, though it also represents a structural vulnerability given the economy's continued dependence on commodity price cycles.

1.5 Strategic Importance for India

- **Energy security:** Russia has become India's largest single supplier of crude oil since 2022, materially reducing India's energy import costs and diversifying its supplier base away from traditional Gulf sources.
- **Defence cooperation:** Russia remains a principal source of major defence platforms and a long-standing partner in defence manufacturing and technology transfer, including under the Make in India framework.

- Multilateral alignment: Russia and India cooperate closely within BRICS, the Shanghai Cooperation Organisation (SCO), and the G20, with India assuming the BRICS Chairship in 2026.
- Connectivity: The International North-South Transport Corridor (INSTC) offers a potential logistics alternative to the Suez Canal route for India-Russia and India-Europe trade.
- Nuclear energy: Russia's Rosatom is a long-term partner in India's civil nuclear programme, notably at the Kudankulam Nuclear Power Plant.

1.6 SWOT Analysis: Russia as an Economic Partner for India

STRENGTHS • Vast natural resource base and low-cost energy supply • Established defence-industrial partnership with India • Large domestic market with high per-capita purchasing power in urban centres • Strategic geographic position linking Europe and Asia	WEAKNESSES • Heavy dependence on hydrocarbon exports and commodity cycles • Constrained access to Western technology, capital, and payment systems • Declining and ageing population, tightening labour markets • Underdeveloped logistics connectivity with India relative to trade potential
OPPORTUNITIES • Import substitution creating demand for Indian pharmaceuticals, machinery, and consumer goods • Reorientation toward Asian markets and the Global South • Growing rupee-rouble and alternative payment settlement mechanisms • Expanding cooperation in fintech, digital economy, and agricultural technology	THREATS • Continued and potentially expanding international sanctions regimes • Currency volatility and cross-border payment friction • Competition from China for market share in the Russian import basket • Geopolitical uncertainty affecting long-term investment planning

Chapter 2: India-Russia Relations

India and Russia share a diplomatic relationship that predates the dissolution of the Soviet Union, rooted in Cold War-era strategic cooperation and sustained through consistent political engagement across changes in government on both sides.

The relationship was formally elevated to a Strategic Partnership in 2000 and to a Special and Privileged Strategic Partnership in 2010, reflecting a level of mutual trust that India extends to very few of its external partners.

2.1 Historical Overview

The India-Soviet Treaty of Peace, Friendship and Cooperation, signed in 1971, laid the institutional foundation for a relationship that endured the political transformations of the post-Cold War period. Following the dissolution of the Soviet Union, India and the Russian Federation signed the Treaty of Friendship and Cooperation in 1993, reaffirming continuity in bilateral ties. The relationship has been sustained through an unbroken sequence of Annual Summits between the Indian Prime Minister and the Russian President, a mechanism unique to India's engagement with only a small number of strategic partners.

2.2 Institutional Architecture

Bilateral cooperation is managed through a structured institutional framework, the most significant elements of which are summarised below.

Mechanism	Function
Annual Summit	Apex political mechanism between the Prime Minister of India and the President of Russia, held annually since 2000
Inter-Governmental Commission on Trade, Economic, Scientific, Technological and Cultural Cooperation (IRIGC-TEC)	Co-chaired by the External Affairs Minister of India and a Russian Deputy Prime Minister; principal channel for economic and trade cooperation
Inter-Governmental Commission on Military-Technical Cooperation (IRIGC-MTC)	Defence and military-technical cooperation, co-chaired by the Defence Ministers
St. Petersburg International Economic Forum (SPIEF)	Key platform for Indian ministerial and business delegations to engage Russian counterparts
India-Russia Business Dialogue	Business-to-business platform under SPIEF and related forums, engaging chambers of commerce and industry associations

2.3 The 23rd India-Russia Annual Summit (December 2025)

Russian President Vladimir Putin undertook a state visit to India on 4-5 December 2025 for the 23rd India-Russia Annual Summit, his first visit to India since 2021. The Summit produced the Programme for the Development of Strategic Areas of Russian-Indian Economic Cooperation till 2030, which formally establishes the joint targets of USD 100 billion in bilateral trade and USD 50 billion in mutual investment by 2030.

Discussions between Prime Minister Narendra Modi and President Putin reaffirmed cooperation across defence, nuclear energy, education, science, space, and quantum technologies, alongside continued coordination within BRICS, the G20, and the United Nations, with Russia expressing support for India's BRICS Chairship in 2026.

KEY INSIGHT: The USD 100 Billion Trade Target

The Programme for the Development of Strategic Areas of Russian-Indian Economic Cooperation till 2030 represents the most significant institutional commitment underpinning bilateral economic ties since the original USD 30 billion target set in 2015 was substantially exceeded ahead of schedule. Achieving the new USD 100 billion target will require a fundamental broadening of the trade basket beyond energy, creating a direct opening for institutional facilitators such as CCI India to support diversification into pharmaceuticals, engineering goods, agriculture, and services.

2.4 Defence and Strategic Cooperation

Defence cooperation remains a pillar of the relationship, encompassing platform procurement, licensed production, and joint development programmes. Naval cooperation was reinforced through the India-Russia Joint Military Exercise (INDRA) 2025, conducted in the Bay of Bengal, while ministerial-level engagement between Defence Minister Rajnath Singh and Russian counterparts in 2025 addressed modernisation of India's Su-30MKI fleet and the fast-tracking of critical defence system procurement.

2.5 Multilateral and Regional Cooperation

- BRICS: India and Russia coordinate closely within BRICS, with Russia extending support to India's 2026 BRICS Chairship and both countries advocating reform of global governance institutions.
- Shanghai Cooperation Organisation (SCO): A platform for regional security, connectivity, and economic cooperation across Eurasia.
- G20: Continued coordination on global economic governance and multilateral trade issues.
- Eurasian Economic Union (EAEU): India-EAEU trade discussions, including a prospective Free Trade Agreement, hold significant implications for Indian exporters seeking preferential access to Russia and neighbouring markets.

2.6 Sister-City and Sub-National Cooperation

Beyond federal-level engagement, India and Russia have expanded sister-city and regional partnerships, including discussions on strengthening ties between Moscow and the National Capital Territory of Delhi across trade, urban development, industrial investment, education, and cultural exchange. Such sub-national mechanisms offer an underutilised channel through which chambers of commerce, including CCI India, can build direct linkages between Indian states and Russian regions.

2.7 Future Outlook

The trajectory of India-Russia relations over the remainder of this decade will be shaped by the extent to which both governments succeed in translating political goodwill into diversified commercial outcomes. The formal adoption of sector-specific cooperation targets, combined with growing use of national currency settlement mechanisms and expanding logistics corridors, suggests a relationship that is deliberately institutionalising its economic dimension. For CCI India and Indian industry more broadly, the coming five years represent a window in which early institutional engagement can secure durable market positioning ahead of intensifying competition from other Asian economies.

Role of CCI India

CCI India can institutionalise its engagement with the bilateral relationship by establishing a dedicated India-Russia Business Council, aligned with the priorities identified in the Programme for the Development of Strategic Areas of Russian-Indian Economic Cooperation till 2030, and by ensuring Indian MSMEs and startups have structured visibility into the sectoral opportunities created by each Annual Summit outcome. This role is elaborated in full in Chapter 13.

Chapter 3: Embassy of the Russian Federation in India

The Embassy of the Russian Federation in New Delhi serves as the principal diplomatic mission representing Russian political, economic, and cultural interests in India. It is complemented by Russian Consulates General in Kolkata, Mumbai, and Chennai, which extend consular and trade-facilitation functions beyond the National Capital Region. The Embassy also plays a pivotal role in facilitating high-level bilateral engagements, promoting trade and investment opportunities, supporting educational and scientific cooperation, and strengthening people-to-people and cultural exchanges between the two nations. Additionally, the Embassy works closely with Indian ministries, chambers of commerce, and industry bodies to identify areas of mutual economic interest and to resolve procedural bottlenecks affecting bilateral trade.

3.1 Leadership

Position	Incumbent
Ambassador Extraordinary and Plenipotentiary of the Russian Federation to India	H.E. Mr. Denis Alipov (in office since January 2022)
Seat	New Delhi
Reporting Authority	Ministry of Foreign Affairs of the Russian Federation

Ambassador Alipov has been an active public voice on India-Russia relations, engaging regularly with Indian media, think tanks, and industry bodies on themes spanning energy trade, defence cooperation, connectivity, and India's BRICS Chairship. His public statements have consistently emphasised the goal of reaching USD 100 billion in bilateral trade by 2030 and have underscored Russia's continued reliability as an energy partner amid external pressure on India's sourcing decisions.

3.2 Functions of the Embassy

- Political and diplomatic representation: Facilitating high-level political dialogue, including Annual Summits and ministerial visits.
- Economic diplomacy: Supporting the Inter-Governmental Commission on Trade, Economic, Scientific, Technological and Cultural Cooperation, and coordinating with Indian ministries on trade and investment facilitation.
- Trade and investment promotion: Engaging Indian industry associations and chambers of commerce to promote Russian export interests and to attract Indian investment into Russian markets.
- Business support: Providing guidance to Russian companies seeking market entry in India and to Indian companies seeking to establish a presence in Russia, including on regulatory and customs matters.
- Consular services: Visa issuance, documentation, and support for Indian nationals travelling to or residing in Russia, and Russian nationals in India.
- Cultural diplomacy: Promoting Russian language, education, and cultural exchange through institutions such as the Russian House (Russian Centre of Science and Culture) in New Delhi.

3.3 Economic Diplomacy and Business Engagement

The Embassy plays an active convening role in bringing together Russian state corporations, private enterprises, and regional administrations with Indian counterparts. It regularly facilitates participation of Russian ministers and business delegations in Indian trade events, such as Wings India 2026, where Russian participation focused on strategic partnership opportunities in civil aviation manufacturing.

The Embassy also supports engagement between Russian regions and Indian states, including discussions on sister-city cooperation between Moscow and Delhi spanning trade, urban development, industrial investment, and education.

3.4 Engagement with Chambers of Commerce and Industry Bodies

The Embassy maintains working relationships with Indian industry associations and chambers of commerce to support business matchmaking, trade delegations, and sector dialogues. This existing channel of engagement represents a natural entry point for CCI India to formalise a structured partnership with the Embassy, positioning CCI India as a preferred institutional counterpart for Russian trade missions, investment delegations, and sector-specific business councils entering the Indian market.

Role of CCI India

CCI India should establish a formal Memorandum of Understanding with the Embassy of the Russian Federation and the Russian Export Center to create a standing channel for business matchmaking, trade delegation coordination, and joint knowledge-sharing events. This would position CCI India as a first point of institutional contact for Russian enterprises, regional administrations, and state corporations seeking structured engagement with Indian industry, complementing the government-to-government mechanisms.

3.5 Consular Network in India

Mission	Location	Primary Coverage
Embassy of the Russian Federation	New Delhi	National political and economic diplomacy
Consulate General of Russia	Kolkata	Eastern India and neighbouring states
Consulate General of Russia	Mumbai	Western India, financial and commercial hub coverage
Consulate General of Russia	Chennai	Southern India

This distributed consular presence offers CCI India an opportunity to coordinate regional business engagement events across India's major commercial centres, rather than concentrating outreach solely in New Delhi, thereby extending the reach of India-Russia business facilitation to regional MSME clusters.

Chapter 4: Economy of Russia

Russia's economy has undergone a profound structural transformation since 2022, moving from an export model oriented substantially toward Europe to one reoriented toward Asia, the Middle East, and the Global South. This chapter examines the principal macroeconomic indicators, trade flows, investment patterns, and industrial structure that define the Russian economy today, with a view to identifying where India fits within this evolving picture.

4.1 GDP and Growth

Indicator	Value	Period
Nominal GDP	USD 2.54 trillion	2025 (IMF estimate)
GDP at PPP	USD 7.14 trillion	2025 (IMF estimate)
GDP Growth Rate	Approximately 1.0-1.1 per cent	2025-26 (forecast)
GDP per Capita (Nominal)	Approximately USD 17,446	2025
Inflation (CPI)	Approximately 5.9 per cent	2025
Key Policy Rate	Elevated, maintained by the Central Bank of Russia to contain inflation	2025-26

Growth has slowed markedly from the post-pandemic rebound of 2023-24, as the Central Bank of Russia has maintained a tight monetary policy stance to counter persistent inflationary pressure arising from wartime fiscal spending, labour shortages, and import cost increases linked to sanctions. The economy has nonetheless avoided the sharp contraction that many external observers projected in 2022, sustained by redirected energy exports, import substitution, and a substantial expansion of state spending on defence-linked manufacturing.

4.2 Trade Structure

Russia's external trade has undergone a decisive geographic reorientation. Europe's share of Russian energy exports has fallen sharply since 2022, while Asia, led by China and India, now accounts for the overwhelming majority of Russian crude oil and refined product exports. Exports remain dominated by hydrocarbons, metals, and agricultural commodities, while imports are increasingly sourced from China, India, Turkey, and other non-Western partners able to supply machinery, electronics, pharmaceuticals, and consumer goods no longer available from traditional Western suppliers.

Trade Indicator	2024 Value	Notes
Total Exports	Approximately USD 374 billion	Led by crude petroleum, refined petroleum, natural gas, coal, wheat
Principal Export Markets	China, India, Turkey	Combined, China and India account for the large majority of Russian crude oil exports
Principal Import Sources	China, Turkey, India, Belarus, Kazakhstan	Machinery, electronics, vehicles, pharmaceuticals, consumer goods
Trade Balance	Substantial surplus	Driven by high energy export revenues relative to imports

4.3 Foreign Direct Investment

Foreign direct investment inflows into Russia from Western economies have contracted sharply since 2022, following the exit or scaling back of operations by numerous multinational corporations. In their place, investment from China, India, the United Arab Emirates, and other non-Western partners has grown, albeit from a modest base. India's cumulative FDI into Russia remains limited relative to trade volumes, concentrated historically in hydrocarbons through entities such as ONGC Videsh, which holds stakes in the Sakhalin-1 and Vankorneft projects. Conversely, Russian investment into India, led by Rosneft's stake in Nayara Energy and its recent commitment of more than USD 25 billion toward Indian refining and fuel retail infrastructure, has become an increasingly significant component of bilateral economic ties.

4.4 Industrial Structure

Sector	Approximate Share of GDP	Notes
Services	Approximately 68 per cent	Includes trade, finance, transport, public administration, digital services
Industry	Approximately 27 per cent	Includes mining, manufacturing, energy, construction
Agriculture	Approximately 5-6 per cent	Russia is the world's largest wheat exporter by volume

While services and industry dominate headline GDP shares, agriculture has assumed outsized strategic significance given Russia's position as the world's leading wheat exporter and a major supplier of fertilisers, sunflower oil, and other agricultural commodities to global markets, including India.

4.5 Economic Reforms and Policy Direction

- Import substitution: Sustained state support for domestic manufacturing of machinery, electronics, pharmaceuticals, and consumer goods previously sourced from Western suppliers.
- Payment system diversification: Expansion of the Mir national payment system and bilateral currency settlement mechanisms, including rupee-rouble trade settlement with India, to reduce dependence on Western-controlled financial infrastructure such as SWIFT.
- Eastern and Southern pivot: Continued development of trade and logistics infrastructure, including the International North-South Transport Corridor (INSTC), oriented toward Asian and Global South markets.
- Defence-industrial expansion: Substantial fiscal allocation toward defence manufacturing, generating parallel civilian industrial capacity in metallurgy, electronics, and precision engineering.
- Fiscal management: Use of the National Wealth Fund and adjustments to the fiscal rule to manage the impact of lower energy revenues and sanctions-related budget pressures.

4.6 Regional Development

Economic activity in Russia remains heavily concentrated in Moscow, Saint Petersburg, and the resource-producing regions of Siberia and the Far East. The federal government has sought to incentivise investment in the Russian Far East through Special Economic Zones and preferential tax regimes aimed at strengthening economic and logistics linkages with Asia-Pacific partners, including India, Japan, and South Korea. For Indian investors, the Russian Far East presents a specific point of geographic and strategic alignment, given its proximity to Asian shipping routes and its role in the Eastern Economic Forum, an annual platform for regional investment promotion.

4.7 Future Outlook

Russia's medium-term economic trajectory will be shaped by the interaction of three forces: the durability and scope of international sanctions, the pace of technological and industrial adaptation through import substitution, and the extent to which redirected trade with Asia can compensate for the loss of Western markets and capital.

Growth is likely to remain moderate, in the range of 1 to 2 per cent annually, constrained by labour shortages, high borrowing costs, and limited access to advanced technology, even as the state continues to prioritise fiscal support for strategic industries. For India, this trajectory implies a Russian market that will remain a significant, if structurally altered, trading partner, one increasingly reliant on Asian capital, technology, and consumer goods to sustain its industrial base.

KEY INSIGHT: A Market in Search of New Suppliers

The contraction of Western commercial presence in Russia has created durable gaps across machinery, pharmaceuticals, consumer goods, and technology services that Indian companies are well positioned to fill, provided they can navigate payment settlement, logistics, and sanctions-compliance constraints. This structural gap, more than any single policy incentive, is the central commercial opportunity examined throughout this report.

Chapter 5: Detailed Sector Analysis

This chapter presents a sector-by-sector analysis of the Russian economy, examining current status, major companies, government initiatives, challenges, and the specific opportunities and role for CCI India in each sector. Sectors are presented broadly in order of their present significance to Russia's economy and to India's commercial engagement with it. Four sectors of particular strategic importance to India, namely FinTech and the Digital Economy, Agricultural Machinery, the Automobile Industry, and the Startup Ecosystem, are examined in greater depth in dedicated chapters later in this report; this chapter provides their initial sectoral context alongside all other sectors.

5.1 Energy

The energy sector remains the single most important pillar of the Russian economy and of India-Russia bilateral trade. Russia holds among the world's largest reserves of natural gas and ranks among the top three global crude oil producers, with an integrated pipeline, refining, and export infrastructure that has been substantially reoriented toward Asian markets since 2022.

Market Size and Current Status

Russia produced approximately 9.1 to 9.3 million barrels per day of crude oil in 2025, with total crude and refined product exports of roughly 7 to 7.5 million barrels per day. India and China together account for 75 to 80 per cent of Russian crude oil exports, with Europe's share having fallen from roughly half of exports in 2020 to approximately 11 to 12 per cent by 2025.

Major Companies and Institutions

- Gazprom: state-controlled natural gas producer and pipeline operator, and the world's largest natural gas company by reserves.
- Rosneft: Russia's largest oil producer, with an established investment position in Indian downstream refining through its stake in Nayara Energy.
- Lukoil: major private oil producer with international upstream and downstream operations.
- Novatek: leading independent natural gas producer, central to Russia's liquefied natural gas (LNG) export strategy.
- Rosatom: state nuclear corporation, extending into broader energy infrastructure including wind power.

Government Initiatives

- Continued participation in the OPEC+ framework, maintaining coordinated production and voluntary output adjustments.
- State support for Eastern Siberian and Arctic production and pipeline projects connecting directly to Asian markets.
- Expansion of a 'shadow fleet' of tankers and alternative insurance and logistics arrangements to sustain export volumes under sanctions.
- Development of LNG export capacity to diversify beyond pipeline gas, targeting Asian buyers.

Challenges

- United States sanctions imposed in October 2025 on Rosneft and Lukoil have directly affected Indian refiners' willingness to continue purchasing Russian crude, introducing new uncertainty into what had been a stable and deeply discounted supply relationship.
- Widening price discounts on Russian crude (Urals crude has traded at USD 8 to 15 per barrel below Brent, and at times more than USD 11 per barrel below Brent for China-bound cargoes) reflect the cumulative cost of sanctions evasion and logistics complexity.
- Price caps imposed by the G7, EU, and allied countries, most recently at USD 47.6 per barrel, continue to constrain revenue even as physical export volumes have been largely sustained.
- Ageing pipeline and export infrastructure in some regions requires substantial capital investment that is harder to secure given restricted access to Western financing and equipment.

Future Outlook

Energy will remain the dominant component of Russia's export economy and of India-Russia trade for the remainder of this decade, but the relationship is entering a more complex phase. The October 2025 sanctions on Rosneft and Lukoil, combined with intensifying discounting and logistics costs, suggest that the easy expansion phase of India's Russian crude purchases (2022-2024) has given way to a period requiring more careful commercial and compliance management by Indian refiners.

Opportunities for India

Beyond continued crude purchases, opportunities exist for Indian oilfield services companies, refining and petrochemical technology providers, and shipping and insurance intermediaries able to operate within sanctions-compliant structures. India's downstream refining capacity, particularly at Jamnagar, continues to add value to discounted Russian crude for both domestic consumption and re-export, a pattern that is itself becoming a subject of scrutiny among Western trading partners.

Role of CCI India

CCI India can support Indian energy-sector enterprises, particularly downstream service providers, logistics firms, and equipment suppliers, by maintaining a continuously updated sanctions and compliance advisory service, and by convening a dedicated Energy Sector Task Force to help Indian firms navigate the evolving regulatory environment while identifying new openings in Russian LNG, oilfield services, and refining technology partnerships.

5.2 Oil and Gas Downstream, and Petrochemicals Feedstock

Beyond upstream production, Russia maintains substantial refining and petrochemical feedstock capacity that is increasingly seeking Asian technology and investment partners as Western oilfield services and refining technology providers have withdrawn.

Market Size and Current Status

Russia's refining sector processes a significant share of its crude output domestically, supplying both the domestic market and export of refined products; refined petroleum product exports to India alone reached approximately USD 2.6 billion in the first half of 2025.

Major Companies and Institutions

- Rosneft (integrated refining network)
- Gazprom Neft (refining and petrochemicals)
- Lukoil (refining and marketing)
- Sibur (petrochemicals and polymer feedstock)

Government Initiatives

- State support for domestic substitution of refining catalysts and equipment previously imported from Western suppliers.
- Investment incentives for petrochemical feedstock projects supplying both domestic industry and export markets.

Challenges

- Loss of access to Western refining catalysts, equipment, and licensing technology.
- Need to develop domestic or Asian-sourced alternatives for critical refining inputs.

Future Outlook

Refining and petrochemical modernisation will increasingly depend on partnerships with Asian equipment and technology suppliers, including from India, as Russia works to replace Western licensors and service providers.

Opportunities for India

Indian engineering, procurement, and construction (EPC) firms and petrochemical technology providers have an opening to supply catalysts, engineering services, and plant equipment where Western suppliers have exited, subject to careful sanctions-compliance review.

Role of CCI India

CCI India can facilitate structured introductions between Indian EPC and petrochemical equipment manufacturers and Russian refining operators through sector-specific business missions, coordinated with the compliance advisory function proposed for the broader energy sector.

5.3 Mining and Metals

Russia is among the world's leading producers of nickel, palladium, aluminium, gold, and diamonds, with a metals and mining sector that has proven relatively resilient to sanctions given the continued global dependence on Russian supply for several critical and precious metals.

Market Size and Current Status

Russia accounts for a substantial share of global palladium production and remains a top-five global producer of nickel, aluminium, and gold, alongside its position as one of the world's largest diamond producers by volume.

Major Companies and Institutions

- Norilsk Nickel (Nornickel): world-leading producer of palladium and refined nickel.
- Alrosa: state-controlled diamond mining company and one of the world's largest diamond producers by volume.
- Rusal: major global aluminium producer.
- Polyus: Russia's largest gold producer.
- Severstal, NLMK, and MMK: leading steel and ferrous metals producers.

Government Initiatives

- State support for domestic processing and value-addition capacity to reduce reliance on exporting raw and semi-processed metals.
- Incentives for Far Eastern and Siberian mineral exploration and infrastructure development.

Challenges

- Sanctions on select metals exports and restrictions on Russian participation in Western metals exchanges have complicated trade financing and logistics.
- Ageing mining infrastructure in some regions requires renewed capital investment.
- Labour shortages in remote mining regions.

Future Outlook

Metals and mining will remain a core pillar of Russian exports, with growing emphasis on Asian buyers and on developing alternative trading, financing, and certification arrangements outside traditional Western commodity exchanges.

Opportunities for India

India's growing demand for nickel, palladium (used extensively in automotive catalytic converters and electronics), and rough diamonds for its cutting and polishing industry, centred in Surat, creates a natural complementarity with Russian supply. Indian diamond processing firms and metals importers have an opportunity to deepen direct sourcing relationships as traditional trading hubs face disruption.

Role of CCI India

CCI India can support the development of direct trade linkages between Russian mining companies and Indian metals importers and diamond processors, including through participation in sector-specific buyer-seller meets and by supporting Indian industry's engagement with alternative certification and settlement mechanisms for precious metals and gemstones trade.

5.4 Agriculture

Agriculture has become one of the more strategically significant sectors of the Russian economy, with Russia established as the world's largest wheat exporter and a major supplier of barley, sunflower oil, and fertilisers to global markets, including India.

Market Size and Current Status

Russia's agricultural exports, including grain, oilseeds, and fertilisers, represent a critical component of both Russian export revenue and global food security. India imported mixed fertilisers from Russia worth approximately USD 646 million in the first half of 2025 alone, an increase of nearly 70 per cent year-on-year, alongside sunflower and safflower oil imports worth approximately USD 948 million.

Major Companies and Institutions

- Phosagro (phosphate fertilisers)
- Uralchem and Uralkali (nitrogen and potash fertilisers)

- Rusagro (diversified agribusiness)
- Miratorg (meat processing and agribusiness)

Government Initiatives

- Export duty and quota mechanisms used to balance domestic food price stability with export revenue objectives.
- State support for agricultural mechanisation and farm consolidation.
- Continued investment in grain export logistics, including Black Sea and Azov Sea port capacity.

Challenges

- Export duty and quota policies create periodic uncertainty for foreign buyers, including Indian fertiliser importers.
- Logistics and insurance costs for grain and fertiliser shipments have risen amid sanctions-related complications.
- Climate variability affecting harvest volumes in key grain-producing regions.

Future Outlook

Russia is expected to retain its position as a leading global supplier of wheat and fertilisers, with growing emphasis on Asian and African buyers as European demand for Russian agricultural inputs has declined. Fertiliser trade with India, in particular, is likely to continue growing given India's structural dependence on imported potash and phosphate fertilisers.

Opportunities for India

India's fertiliser security needs and its position as a leading global vegetable oil importer create durable demand for Russian agricultural exports. Conversely, Russian import substitution needs in agricultural machinery, seed technology, and food processing equipment create direct opportunities for Indian agri-technology and machinery exporters, examined in greater depth in Chapter 11.

Role of CCI India

CCI India should establish a dedicated Agriculture and Fertiliser Trade Facilitation Cell to support long-term supply agreements between Indian fertiliser importers and Russian producers, while simultaneously promoting Indian agricultural machinery and agri-technology exports to Russian farm consolidation programmes.

5.5 Food Processing

Russia's food processing sector has expanded significantly since 2014 as part of a broader import substitution drive in response to earlier rounds of Western sanctions, creating a relatively mature domestic industry that nonetheless continues to rely on imported processing equipment, packaging technology, and select ingredients.

Market Size and Current Status

The sector spans dairy, meat processing, confectionery, beverages, and packaged foods, serving a domestic consumer base of over 146 million people, with growing demand for processed and packaged food products in urban centres.

Major Companies and Institutions

- Miratorg (meat processing)
- EFKO Group (fats, oils, and food ingredients)
- Cherkizovo (poultry and meat processing)
- Wimm-Bill-Dann (dairy and beverages)

Government Initiatives

- Continued import substitution incentives for food processing machinery and packaging technology.
- State support for regional food processing clusters linked to agricultural production zones.

Challenges

- Loss of access to Western food processing equipment, packaging machinery, and select food-grade ingredients and additives.
- Rising input costs linked to sanctions-affected supply chains.

Future Outlook

Continued growth is expected in the food processing sector as Russian producers seek to fully substitute imported machinery and ingredients, creating sustained demand for alternative equipment and ingredient suppliers from Asia.

Opportunities for India

Indian food processing machinery manufacturers, spice and ingredient exporters, and packaging technology firms have an opportunity to fill gaps left by departed Western suppliers, particularly in categories where Indian industry already has established export competitiveness, such as food processing machinery and select food ingredients.

Role of CCI India

CCI India can organise India-Russia food processing and machinery buyer-seller meets, showcasing Indian food processing equipment manufacturers and ingredient exporters to Russian food industry buyers seeking to diversify away from Western suppliers. Such meets could be structured around specific sub-sectors dairy processing, grain milling, packaging machinery, and cold-chain solutions to enable focused business matchmaking rather than generic trade interactions. Complementing these in-person engagements with facility visits and technical demonstrations would further help Russian buyers assess product quality and after-sales support capabilities before committing to long-term supply arrangements.

5.6 Automobile, Electric Vehicles, and Auto Components

Russia's automobile industry has undergone a severe structural shock since 2022, with the near-total exit of Western and Japanese carmakers creating a vacuum that has been filled overwhelmingly by Chinese manufacturers, alongside a struggling domestic industry led by AvtoVAZ. The sector entered a pronounced downturn through 2025, driven by high interest rates, an oversupplied Chinese import base, and weakening consumer demand.

Market Size and Current Status

Full-year vehicle demand for 2025 was projected at approximately 1.3 million units, a decline of roughly 17 per cent from 2024, with passenger car sales down approximately 26 per cent and heavy-duty truck sales down approximately 60 per cent in the first half of 2025 alone. Chinese brands held approximately 57 per cent of the Russian auto market by early 2026, while AvtoVAZ's Lada brand, still the single largest domestic seller, cut its 2025 production target from 500,000 to approximately 300,000 vehicles and moved to a four-day working week. Electric vehicle sales remain a small fraction of the market, with battery electric vehicle sales of approximately 9,600 units in the first ten months of 2025, dominated by Chinese brands such as Geely (Zeekr) and BYD.

Major Companies and Institutions

- AvtoVAZ (Lada): Russia's largest domestic automaker, facing acute financial pressure amid falling sales and rising unsold inventory.
- KAMAZ and GAZ: leading domestic commercial vehicle and truck manufacturers, both moved to reduced working weeks in 2025 amid the downturn.
- Geely, Haval, Chery, and Belgee: leading Chinese and Chinese-linked brands now dominating the Russian passenger vehicle market.
- Moskvich: revived Russian brand assembling adapted Chinese models (notably JAC-based platforms) at the former Renault plant in Moscow.
- Motorinvest: emerging Russian EV assembler producing Chinese-licensed electric models such as the Evolute range.

Government Initiatives

- Rosstandart certification restrictions aimed at slowing the unchecked influx of Chinese vehicles and protecting domestic assemblers.
- State subsidies and preferential financing to sustain domestic production at AvtoVAZ, KAMAZ, and GAZ.
- Localisation requirements encouraging Chinese brands to shift from imports to local assembly and component sourcing.
- A dedicated EV gigafactory initiative in Kaliningrad, linked to Rosatom, intended to anchor a domestic battery supply chain.

Challenges

- High interest rates have made vehicle financing prohibitively expensive for Russian consumers, compressing demand across all segments.
- Heavy-duty truck sales have collapsed amid a broader industrial slowdown, directly affecting KAMAZ.
- Domestic EV charging infrastructure remains concentrated in Moscow and a small number of urban centres, limiting nationwide EV adoption.

Future Outlook

The Russian automobile sector is likely to remain under pressure through 2026, with continued consolidation around Chinese brands and a slow, subsidy-dependent recovery for domestic manufacturers. Government protectionist measures may create openings for non-Chinese Asian suppliers, including Indian auto component manufacturers, particularly as Moscow seeks to avoid excessive dependence on a single foreign supplier base.

Opportunities for India

India's well-established auto component industry, competitive in castings, forgings, engine parts, and electrical components, is well positioned to supply both domestic Russian assemblers and Chinese brands localising production in Russia. Russia's stated interest in diversifying its import base beyond China creates a specific policy opening for Indian component exporters and, over time, Indian original equipment manufacturers considering assembly operations.

Role of CCI India

CCI India can lead a dedicated Auto Components Trade Mission connecting Indian component manufacturers with AvtoVAZ, KAMAZ, GAZ, and Chinese assemblers operating in Russia, and can advocate with Indian and Russian authorities for streamlined certification recognition to reduce the time and cost of market entry for Indian auto parts exporters.

5.7 Manufacturing

Russia's broader manufacturing base spans machine building, electronics, consumer goods, and industrial equipment, and has been a principal focus of the government's import substitution programme since 2014, intensifying sharply after 2022.

Market Size and Current Status

Manufacturing, together with mining and construction, accounts for a substantial share of Russia's approximately 27 per cent industrial share of GDP, with machine building and metalworking representing priority areas for state investment under import substitution programmes.

Major Companies and Institutions

- Rostec (state industrial conglomerate spanning machinery, electronics, and defence-linked manufacturing)
- United Engine Corporation (industrial and aviation engines)
- Uralvagonzavod (rail and heavy vehicle manufacturing)

Government Initiatives

- Industry 4.0-oriented modernisation programmes for machine tools and automation, seeking Asian technology partners to replace departed Western and Japanese suppliers.
- Special investment contracts (SPIC 2.0) offering tax incentives to manufacturers localising production of previously imported machinery and components.

Challenges

- Loss of access to precision machine tools, industrial automation systems, and certain categories of electronics previously sourced from Germany, Japan, and other advanced manufacturing economies.
- Skilled labour shortages in advanced manufacturing trades.

Future Outlook

Manufacturing will remain a state investment priority, with growing reliance on Chinese and, to a lesser extent, Indian machinery, components, and industrial technology to sustain modernisation efforts.

Opportunities for India

Indian machine tools, industrial automation, and electrical equipment manufacturers have an opportunity to position themselves as alternative suppliers to Russian industry, particularly in categories where Indian manufacturing has achieved international competitiveness, such as electrical equipment, castings and forgings, and select categories of industrial machinery.

Role of CCI India

CCI India can support Indian capital goods and machinery exporters through participation in Russian industrial trade fairs and by facilitating direct engagement with Rostec-affiliated manufacturing entities seeking to diversify their supplier base. This could include curating delegations of Indian machine tool, auto components, and industrial equipment manufacturers for flagship exhibitions such as Innoprom, alongside organising pre-scheduled B2B meetings to shorten the vendor qualification cycle. CCI India could also assist in navigating compliance and certification requirements specific to the Russian industrial ecosystem, helping Indian exporters position themselves as credible long-term supply partners.

5.8 Heavy Engineering

Heavy engineering, encompassing power generation equipment, industrial boilers, heavy machinery, and large-scale infrastructure equipment, is a long-standing area of India-Russia industrial cooperation, with Indian firms such as Bharat Heavy Electricals Limited (BHEL) having historical experience with Russian-origin power generation technology.

Market Size and Current Status

The sector includes power equipment manufacturing, heavy machine building for mining and metallurgy, and shipbuilding, much of it concentrated in Russia's Urals and Northwestern industrial regions.

Major Companies and Institutions

- Power Machines (Silovye Mashiny): leading power generation equipment manufacturer.
- Uralmashzavod: heavy machinery for mining and metallurgy.
- United Shipbuilding Corporation: state shipbuilding conglomerate.

Government Initiatives

- State investment in shipbuilding capacity to support both civilian Arctic and merchant fleet requirements and defence-related naval construction.
- Modernisation programmes for ageing power generation infrastructure.

Challenges

- Capital-intensive modernisation needs amid constrained access to international project financing.
- Loss of access to Western turbine and heavy equipment technology and spare parts.

Future Outlook

Heavy engineering cooperation is likely to deepen as Russia seeks partners for power infrastructure modernisation and shipbuilding capacity expansion, areas where Indian public sector engineering firms have decades of operating familiarity with Russian-origin technology.

Opportunities for India

Indian heavy engineering firms with established Russian-technology familiarity, including BHEL and Indian shipbuilding yards, are well positioned to participate in joint modernisation, maintenance, and equipment supply contracts, building on decades of technical cooperation rather than starting from a position of unfamiliarity.

Role of CCI India

CCI India can convene a Heavy Engineering and Power Equipment Working Group bringing together Indian public sector engineering companies and Russian power and machinery manufacturers to identify joint modernisation and equipment supply opportunities.

5.9 Defence Manufacturing

Defence manufacturing represents the most mature and deeply institutionalised area of India-Russia industrial cooperation, spanning decades of licensed production, joint development, and, increasingly, deeper indigenous manufacturing under India's Make in India and Atmanirbhar Bharat frameworks.

Market Size and Current Status

India currently produces the Su-30MKI fighter aircraft, T-90S main battle tanks, AK-203 assault rifles, AK-630 close-in weapon systems, and a broad range of ammunition under licence from Russian original equipment manufacturers. The BrahMos Aerospace joint venture, headquartered in India, has expanded into a dedicated new production facility in Lucknow (inaugurated May 2025) designed to manufacture 80 to 100 BrahMos missiles annually in its initial phase, scaling toward 100 to 150 next-generation variants per year.

Major Companies and Institutions

- BrahMos Aerospace: India-Russia joint venture producing the BrahMos supersonic cruise missile, with growing export demand across Asia-Pacific, West Asia, Africa, and Latin America.
- Hindustan Aeronautics Limited (HAL): licensed producer of the Su-30MKI, in discussions with Russia's FSMTC on potential licensed production of the Su-57E stealth fighter at its Nashik facility.
- Indo-Russian Rifles Private Limited: joint venture manufacturing AK-203 assault rifles at Korwa, Amethi, under a contract for 601,427 rifles, with indigenisation levels rising from 50 per cent to a targeted 100 per cent by the end of 2025.
- Rosoboronexport: Russia's state intermediary for defence export and cooperation agreements.

Government Initiatives

- Continued expansion of the AK-203 joint venture, with discussion of additional variants including the AK-19 and PPK-20 for domestic use and export.
- Talks on advanced next-generation BrahMos variants and a proposed local BrahMos production line in Russia, alongside Indian supply of key sub-systems into Russian manufacturing.
- Exploratory discussions on licensed production of the Su-57E fifth-generation stealth fighter in India, potentially leveraging HAL's existing Su-30MKI infrastructure at Nashik.
- Continued modernisation of India's Su-30MKI fleet and T-90 Bhishma tanks under multi-year upgrade programmes.

Challenges

- Balancing continued Russian defence dependence with India's broader defence diversification strategy and its Atmanirbhar Bharat self-reliance goals.
- Technology transfer negotiations for advanced platforms such as the Su-57E remain complex and time-intensive.

- Sanctions risk affecting components, financing, and insurance for defence-related trade and cooperation.

Future Outlook

Defence manufacturing cooperation is set to deepen further, with next-generation BrahMos production, potential Su-57E licensed production, and continued indigenisation of small arms and armoured vehicle manufacturing anchoring a multi-decade industrial relationship. India's defence production target of INR 3 trillion by 2029, with 65 per cent domestic content already achieved as of March 2025, positions Russian-origin platforms as an increasingly indigenised component of India's broader defence manufacturing base rather than a simple import relationship.

Opportunities for India

The defence sector offers Indian private sector component manufacturers, electronics firms, and precision engineering companies substantial subcontracting opportunities within the BrahMos, Su-30MKI, T-90, and AK-203 supply chains, as indigenisation targets rise toward full domestic content.

Role of CCI India

CCI India can support Indian MSME defence component manufacturers in identifying subcontracting opportunities within Russian-origin joint venture supply chains, and can convene dialogue between Indian private defence manufacturers and public sector integrators such as HAL and BrahMos Aerospace to expand MSME participation in these programmes, consistent with the Atmanirbhar Bharat framework.

5.10 Information Technology, Artificial Intelligence and Cybersecurity

Russia's information technology sector has been reshaped by the departure of Western vendors such as Microsoft, SAP, Oracle, IBM and Nvidia since 2022 and by a state-driven import-substitution mandate that requires government bodies and critical information infrastructure operators to migrate to domestically developed software, with the transition to Russian database management systems mandated from 1 January 2026. Moscow's IT sector alone generated an estimated 2.3 trillion roubles in revenue in 2024, representing roughly 40 per cent of national IT output, even as the domestic talent pool has contracted by an estimated 70,000 to 100,000 professionals through emigration since 2022. The Russian ICT market is projected to grow from approximately USD 54.9 billion in 2025 to USD 65.96 billion by 2031, with demand concentrated in sovereign cloud infrastructure, cybersecurity platforms, and AI-optimised workloads.

Current Status and Opportunities for India

The mandated substitution of foreign enterprise software has created sustained procurement demand in segments where Indian IT services and product companies possess established global delivery capability, including enterprise resource planning, cybersecurity platforms, cloud migration, and business process outsourcing. Indian AI research and applications, particularly in agricultural analytics, fintech risk-scoring, and vertical SaaS, are of interest to Russian enterprises seeking non-Western technology partners that fall outside the scope of export control regimes. Cybersecurity cooperation is a further area of mutual interest, given Russia's own sizeable domestic cybersecurity industry and India's growing base of cybersecurity product companies and service providers.

Role of CCI India

CCI India can establish a Digital Economy and IT Services Working Group to connect Indian software product and services companies with Russian system integrators and public procurement channels, and can facilitate participation of Indian cybersecurity firms in joint capacity-building initiatives, while remaining alert to the export control and sanctions-compliance considerations that Indian companies must independently assess before entering this market.

5.11 Semiconductors

Russia's semiconductor base is limited and has been further constrained by export controls restricting access to advanced fabrication equipment and design tools, leaving the country reliant on a combination of domestic legacy-node production, parallel imports, and Chinese suppliers for chips used in consumer electronics, telecommunications equipment, and industrial systems. India, whose own semiconductor manufacturing ecosystem is at an early but rapidly advancing stage under the India Semiconductor Mission, is not currently positioned as a chip supplier to Russia; the more realistic near-term opportunity lies in design services, electronics assembly inputs, and eventual collaboration in trusted, non-sanctioned segments of the value chain as India's fabrication capacity matures.

Role of CCI India

Given the sensitivity of this sector under export control regimes, CCI India's role should be limited to monitoring developments and briefing member companies on compliance considerations, rather than actively promoting engagement, pending greater regulatory clarity.

5.12 Pharmaceuticals, Biotechnology and Healthcare

India has emerged as Russia's leading pharmaceutical supplier, having overtaken Germany, with Indian manufacturers delivering approximately 294 million packages of medicines to the Russian market in a recent annual period, a volume that continues to grow even as some Western suppliers such as France, Hungary and Israel maintain a presence. In December 2025, the health ministries of India and Russia signed a strategic cooperation agreement establishing joint working groups on pharmaceuticals, and discussions are underway on manufacturing medicines in India for packaging in Russia, as well as on joint production of active pharmaceutical ingredients within Russia itself, partly in response to China's tightening of raw-material supply to Russian manufacturers in 2024.

Challenges and Opportunities for India

Indian manufacturers continue to face a slow and document-intensive Russian regulatory approval process for imports and facility registration, alongside lengthy facility inspection timelines. Nonetheless, the sector offers substantial opportunity for Indian companies to move beyond generic drug exports toward localisation of active pharmaceutical ingredient production, joint ventures in Russian regions, and eventual co-development of higher value formulations, complementing India's global position as a leading generics and vaccine supplier.

Role of CCI India

CCI India can support Indian pharmaceutical exporters and API manufacturers in navigating Russian regulatory registration processes, convene a Pharmaceutical and Healthcare Business Council with Russian counterparts, and advocate for streamlined mutual recognition of manufacturing facility inspections between the two regulatory authorities.

5.13 Aerospace and Space Technology

Civilian aerospace cooperation between India and Russia remains modest relative to the defence-industrial relationship, though the two countries maintain long-standing cooperation in space launch services, satellite navigation, and human spaceflight training through Glavkosmos, which has previously supported the training of Indian Gaganyaan astronaut candidates. Opportunities exist in satellite component supply, ground station services, and remote sensing applications relevant to India's expanding commercial space sector under IN-SPACe.

Role of CCI India

CCI India can facilitate dialogue between Indian private space companies and Russian space agencies and manufacturers on component supply and training cooperation, working within the framework of applicable government-to-government space cooperation agreements.

5.14 Nuclear Energy

Nuclear energy is among the most institutionally mature areas of India-Russia cooperation. The Kudankulam Nuclear Power Plant in Tamil Nadu, developed by Rosatom in partnership with the Nuclear Power Corporation of India Limited (NPCIL), has two VVER-1000 units in commercial operation since 2013 and 2016, with Units 3 and 4 in advanced pre-commissioning stages and Units 5 and 6 under construction, bringing the site toward its full planned capacity of 6,000 MW at a total project cost of approximately USD 16.3 billion across all six units. During President Putin's December 2025 visit to India, Rosatom reaffirmed its commitment to full-capacity operation and has proposed cooperation on small modular reactors as India pursues its target of 100 GW of nuclear generation capacity.

Opportunities for India

As Kudankulam progresses toward completion and India's nuclear capacity expansion accelerates, opportunities exist for Indian engineering, procurement and construction firms, component manufacturers, and civil contractors to expand their share of domestic content in future units and in prospective small modular reactor cooperation.

Role of CCI India

CCI India can convene Indian heavy engineering and nuclear component manufacturers to identify indigenisation and subcontracting opportunities within the Kudankulam supply chain and prospective small modular reactor cooperation, working alongside NPCIL and the Department of Atomic Energy.

5.15 Renewable Energy and Green Hydrogen

Renewable energy remains a comparatively small share of Russia's energy mix relative to its hydrocarbon and nuclear base, though solar and wind capacity have expanded steadily in southern Russia and Siberia, and Russian state entities have expressed interest in hydrogen and low-carbon technology development as a long-term diversification strategy, notwithstanding financing and technology-access constraints under sanctions.

India's substantially larger and faster-growing renewable energy and green hydrogen programmes, anchored by the National Green Hydrogen Mission, position Indian solar module manufacturers, wind turbine component producers, and green hydrogen electrolyser companies as potential technology partners for Russian utilities and industrial users seeking non-Western suppliers.

Role of CCI India

CCI India can explore, through a dedicated Renewable Energy and Green Hydrogen dialogue, whether Indian solar and electrolyser manufacturers can supply equipment or establish joint ventures for Russian and Central Asian renewable energy projects, subject to sanctions-compliance review.

5.16 Chemicals and Petrochemicals

Beyond the oil and gas downstream petrochemical feedstock base discussed in Section 5.2, Russia maintains a broader specialty and industrial chemicals sector, including fertilisers, polymers, and agrochemicals, in which companies such as PhosAgro, EuroChem, and SIBUR are prominent. India is already a major importer of Russian fertilisers, a trade flow that has helped narrow India's agricultural input costs, and Indian chemical and agrochemical manufacturers have shown growing interest in long-term supply contracts and joint venture discussions for polymer and fertiliser feedstock.

Role of CCI India

CCI India can support Indian fertiliser and chemical importers in negotiating long-term rupee-denominated supply contracts and can convene a Chemicals and Fertiliser Trade Facilitation Desk to address logistics, payment, and quality certification issues specific to this trade.

5.17 Infrastructure, Construction and Smart Cities

Russian infrastructure investment has been increasingly directed toward the Far East, Siberia, and Arctic regions to support the country's reorientation of trade toward Asia, encompassing port expansion, rail electrification, and urban redevelopment in secondary cities. Indian construction, engineering, and smart-city solution providers, several of which have executed large-scale urban infrastructure and metro rail projects domestically, represent potential partners for Russian regional infrastructure programmes, particularly in areas such as urban transit systems, water and sanitation infrastructure, and municipal digital governance platforms.

Role of CCI India

CCI India can facilitate engagement between Indian infrastructure and smart-city solution providers and Russian regional governments through state-to-region cooperation mechanisms, and can showcase Indian urban infrastructure capabilities at bilateral business forums.

5.18 Transportation, Railways, Ports and Logistics

Logistics connectivity remains one of the most significant constraints on India-Russia trade expansion. The International North-South Transport Corridor (INSTC), linking Indian ports to Russia via Iran and the Caspian Sea, and the proposed Chennai-Vladivostok Eastern Maritime Corridor are the two principal connectivity initiatives intended to reduce transit times and costs relative to the traditional Suez Canal route, though both continue to face documentation harmonisation, capacity, and insurance-related challenges. Russian Far Eastern ports, particularly Vladivostok, have absorbed rising container and bulk cargo volumes as Russia's trade has reoriented toward Asia, creating renewed interest in direct India-Russia shipping links.

Role of CCI India

CCI India can advocate for the operationalisation of dedicated INSTC and Chennai-Vladivostok cargo services, work with Indian shipping lines and freight forwarders to address documentation and insurance bottlenecks, and convene a Logistics and Connectivity Task Force with Russian port and rail authorities to identify practical near-term improvements.

5.19 Tourism and Hospitality

Bilateral tourism flows have grown steadily, supported by expanded direct flight connectivity between Indian and Russian cities and simplified visa arrangements, with Russian tourist arrivals to India and Indian arrivals to Russia both increasing since 2023. Goa, Kerala, and the Golden Triangle circuit remain the principal draws for Russian visitors, while Moscow, St. Petersburg, and the Golden Ring cities are of growing interest to Indian outbound travellers and religious and cultural tourism circuits.

Role of CCI India

CCI India can convene a Tourism and Hospitality Business Council to support Indian travel operators, hoteliers, and airlines in expanding bilateral tourism packages, and can advocate for further simplification of visa and payment arrangements for tourists from both countries.

5.20 E-commerce, Retail, Financial Services, Creative Industries, Media and Telecommunications

The exit of major Western e-commerce, retail, and payment platforms from Russia since 2022 has created openings for alternative providers, and Indian e-commerce, payments, and retail companies have shown selective interest in the Russian market, though most engagement to date has been exploratory. In financial services, the National Payments Corporation of India's UPI and Russia's Mir payment system have been the subject of ongoing discussions on interoperability to facilitate bilateral trade settlement, a matter of direct relevance to the FinTech chapter that follows (Chapter 10). Russian telecommunications operators are expanding 5G rollouts in major cities and investing in satellite constellations, offering potential equipment and software collaboration opportunities for Indian telecommunications equipment manufacturers. Creative industries and media cooperation, including film co-production and content licensing, remain nascent but were highlighted as an area of interest during recent bilateral cultural exchanges.

Role of CCI India

CCI India can convene an exploratory dialogue on e-commerce and retail market entry for Indian companies, support the technical discussions on UPI-Mir interoperability alongside the National Payments Corporation of India, and facilitate initial contact between Indian telecommunications equipment manufacturers and Russian operators, subject to export control considerations.

Chapter 6: Major Challenges Facing Russia

This chapter examines the principal structural challenges confronting the Russian economy, assessing their background, current impact, the Russian government's policy response, the implications for foreign businesses, the opportunities these challenges create for India, and the specific role CCI India can play in helping Indian enterprises navigate each of them.

6.1 International Sanctions and Trade Restrictions

Background: Since February 2022, the United States, European Union, United Kingdom, and allied countries have imposed successive rounds of sanctions targeting Russian financial institutions, energy companies, defence firms, and technology imports, including the October 2025 sanctions on Rosneft and Lukoil and a G7 price cap on Russian crude currently set at USD 47.6 per barrel.

Current Impact: Sanctions have widened the discount on Russian crude relative to Brent, complicated insurance, shipping, and payment arrangements for Russian trade, and constrained Russian access to advanced Western technology, though physical export volumes of energy have been largely sustained through alternative logistics and buyers, principally India and China.

Government Response and Business Implications: Russia has developed an expanding 'shadow fleet' of tankers, alternative insurance arrangements, and rouble- and yuan-denominated trade settlement mechanisms to sustain trade flows. For Indian businesses, this environment requires careful compliance screening of counterparties, payment channels, and shipping arrangements to avoid secondary sanctions exposure, even while continuing to benefit from discounted energy and commodity imports.

Opportunities for India and Role of CCI India: The sanctions environment has reinforced India's position as a preferred buyer of discounted Russian energy and a preferred alternative supplier of pharmaceuticals, machinery, and consumer goods vacated by Western firms. CCI India can maintain an updated sanctions and compliance advisory service for member companies, in coordination with legal and banking experts, to help Indian businesses structure compliant trade and payment arrangements.

6.2 Supply Chain Disruption and Technology Access Constraints

Background: The withdrawal of Western technology suppliers and restrictions on the export of semiconductors, advanced machinery, and industrial software have forced Russian industry into an accelerated and costly import-substitution programme, formalised through domestic-content mandates requiring 95 per cent domestic software and 70 per cent domestic hardware content in public procurement.

Current Impact and Government Response: Russian IT sector employment has grown by an estimated 40 per cent over three years and wages by 70 per cent, reflecting acute talent scarcity rather than genuine productivity gains, and full import substitution remains economically unrealistic in a market of Russia's size, particularly for advanced semiconductors. The government has established 54 industrial competence centres, backed by approximately 37.1 billion roubles, to accelerate domestic technology development in sectors including oil and gas digitalisation and metallurgy.

Business Implications and Opportunities for India: Indian software product and services companies, cybersecurity firms, and industrial automation providers are relatively well placed to serve this substitution demand, given India's global standing in IT services and its position outside the core Western export-control regimes governing the most sensitive technologies, though companies must still assess exposure to secondary sanctions risk.

Role of CCI India: CCI India can maintain the Digital Economy and IT Services Working Group referenced in Chapter 5 as the primary institutional channel through which Indian technology companies evaluate and pursue opportunities created by Russia's import-substitution programme, with built-in compliance screening support.

6.3 Demographic Decline and Labour Shortages

Background: Russia's population, which peaked at approximately 146 million around 2020, is projected by the United Nations to decline to roughly 135.8 million by 2050 under medium-variant assumptions, driven by a total fertility rate of approximately 1.4, an ageing population, and war-related casualties and emigration. The median age has risen from 32.2 in 1990 to over 40 in 2025.

Current Impact: Russia's Ministry of Labour projects that the economy will need to draw approximately 10.9 to 12.2 million additional workers into the workforce by 2030-32, and various estimates place the current labour shortfall in the range of 2.6 to 5 million workers, with unemployment at historic lows near 2.4 per cent, indicative of capacity strain rather than labour market health.

Government Response: The Kremlin has designated population growth a national priority and introduced a Demographic Strategy through 2036 emphasising financial incentives for childbirth, while relying increasingly on labour migration, principally from Central Asia, to fill workforce gaps, notwithstanding an official policy preference for growth through higher domestic birth rates over long-term immigration.

Business Implications and Opportunities for India: The labour shortage is contributing to rising wages and input costs across Russian industry, a factor Indian companies should account for in cost projections for any manufacturing or services partnership in Russia.

It also strengthens the case for automation, robotics, and productivity-enhancing technology partnerships, an area in which Indian industrial automation and IT companies can contribute.

Role of CCI India: CCI India can highlight labour-market conditions in its sector briefings so that Indian companies price partnership and investment decisions realistically, and can explore, where consistent with Indian and Russian regulatory frameworks, skilled-professional exchange programmes in sectors facing acute shortages. Such briefings could draw on inputs from Indian companies already operating in Russia to reflect ground-level realities around wage benchmarks, hiring timelines, and workforce retention. Any exchange programme would need to be developed in close consultation with relevant government authorities on both sides to ensure alignment with visa, labour, and social-security regulations..

6.4 Innovation Commercialisation Gap

Background: Despite a research base with historical strength in fundamental science, mathematics, and defence-related engineering, Russia has long struggled to commercialise research output into globally competitive civilian products and companies, a gap that has widened as sanctions have restricted access to international venture capital, equity markets, and technology partnerships.

Current Impact and Government Response: Rospatent recorded an 18 per cent rise in patent filings in 2024, concentrated in speech recognition, computer vision, and blockchain identity applications, suggesting continued research activity even as the pathway from research to scaled commercial product remains constrained. The government has responded through state-backed innovation funds and technology sovereignty programmes, though private venture funding remains thin.

Opportunities for India and Role of CCI India: India's own innovation financing ecosystem, including its venture capital networks and Startup India framework, offers a potential model and, in select non-sanctioned sectors, a partnership avenue for Russian research institutions and deep-tech ventures seeking commercialisation pathways and export markets beyond the West. CCI India can convene knowledge-exchange sessions between Indian startup ecosystem stakeholders and Russian research institutions on commercialisation practices, within the framework detailed further in Chapter 9.

6.5 Climate Change and Energy Transition

Background: Russia's economy remains heavily dependent on hydrocarbon exports even as global demand growth for oil and gas is expected to slow over the coming decades, and the country's vast permafrost regions are experiencing accelerated warming with direct implications for infrastructure stability in Siberia and the Arctic.

Current Impact and Government Response: While Russia has articulated a long-term low-carbon development strategy, near-term policy priority remains firmly on sustaining hydrocarbon export revenue and reorienting energy exports toward Asian markets rather than accelerating domestic decarbonisation, resulting in comparatively modest renewable energy deployment relative to Russia's technical potential in solar, wind, and hydrogen.

Opportunities for India and Role of CCI India: As outlined in Section 5.15, India's more advanced renewable energy and green hydrogen industrial base positions Indian companies as potential technology and equipment partners as Russia gradually diversifies its energy mix. CCI India can position this as a medium-to-long-term engagement area, tracked through its Renewable Energy and Green Hydrogen dialogue.

6.6 Infrastructure Gaps and Regional Disparities

Background: Economic activity and infrastructure investment in Russia remain heavily concentrated in Moscow, St. Petersburg, and a small number of major cities, while vast regions of Siberia, the Russian Far East, and the North Caucasus continue to experience underinvestment in transport, digital, and social infrastructure, a disparity that sanctions-driven reorientation toward Asia has only partly begun to address through Far Eastern port and rail investment.

Business Implications and Opportunities for India: This regional imbalance creates both a constraint, in the form of underdeveloped logistics and infrastructure outside major hubs, and an opportunity, as Russian federal and regional authorities actively seek investment and construction partners for Far Eastern and Siberian development, an area where Indian infrastructure and engineering firms, discussed in Section 5.17, can play a meaningful role.

Role of CCI India: CCI India can use state-to-region cooperation mechanisms to connect Indian infrastructure companies directly with Russian regional governments in the Far East and Siberia, where competition from Western firms is minimal and government incentives for foreign investment are comparatively favourable.

6.7 Financial Sector Challenges

Background: Exclusion of major Russian banks from the SWIFT international payment messaging system and broader Western financial sanctions have forced Russia to rely on its domestic Mir payment system, bilateral currency arrangements, and alternative correspondent banking relationships, complicating cross-border trade settlement, including for India-Russia trade.

Current Impact and Business Implications: Indian banks and exporters have had to develop rupee-rouble and, in some cases, alternative-currency settlement mechanisms for bilateral trade, a process that has been workable for large public sector and energy transactions but remains cumbersome for smaller MSME-scale trade, contributing to the trade imbalance discussed in Chapter 7.

Opportunities for India and Role of CCI India: Continued discussion on UPI-Mir payment interoperability, referenced in Section 5.23, represents the most direct opportunity to ease this constraint for smaller Indian exporters and importers. CCI India can advocate, alongside the Reserve Bank of India and National Payments Corporation of India, for practical mechanisms that reduce settlement friction for MSME-scale India-Russia trade specifically.

6.8 Global Competition for Markets and Influence

Background: As Russia reorients its trade and diplomatic relationships toward Asia and the Global South, it faces intensifying competition from China, which has become by far its largest trading partner and a dominant supplier of machinery, electronics, vehicles, and consumer goods, alongside growing competition from Turkey, the Gulf states, and other countries positioning themselves as alternative partners for Russian trade and investment.

Business Implications and Opportunities for India: China's scale advantage means Indian companies are unlikely to compete on price or volume in most manufactured goods categories; India's comparative advantage lies instead in pharmaceuticals, agricultural machinery, IT services, and select engineering niches where quality, trust, and long-standing relationship history favour Indian suppliers, as detailed across the sector chapters of this report.

Role of CCI India: CCI India should position its promotional and facilitation efforts around India's differentiated strengths rather than attempting to compete with Chinese suppliers on scale, concentrating institutional resources on the sectors identified throughout this report where India holds a genuine and durable competitive advantage.

Chapter 7: India-Russia Trade

India-Russia bilateral trade reached USD 68.72 billion in the most recent full reporting year, of which Indian exports accounted for only approximately USD 4.88 billion, leaving a trade deficit of roughly USD 64 billion driven almost entirely by Indian energy imports. India's share of Russia's total foreign trade remains below 5 per cent, and Russia's share of India's total trade, while significant in value terms, is similarly concentrated and imbalanced. Both governments have reaffirmed a joint target of USD 100 billion in bilateral trade by 2030, formalised through the Programme for the Development of Strategic Areas of Russian-Indian Economic Cooperation adopted at the 23rd India-Russia Annual Summit in December 2025.

7.1 Trade Composition and Major Commodities

Russian exports to India are dominated by crude oil, refined petroleum products, coal, and fertilisers, with crude oil alone accounting for the majority of import value; India became the largest recipient of Russian seaborne Urals crude in 2025, receiving approximately 80 per cent of such shipments. Indian exports to Russia are more diversified but far smaller in value, led by pharmaceuticals, machinery and mechanical appliances, engineering goods, ceramics, cereals, and marine products, alongside smaller but growing categories such as spirits and consumer goods.

7.2 Trade Corridors and Payment Mechanisms

The International North-South Transport Corridor and the proposed Chennai-Vladivostok Eastern Maritime Corridor, discussed in Section 5.18, remain the two principal logistics routes intended to reduce the cost and transit time of bilateral trade relative to Western routes. On payments, both governments have expanded rupee-rouble and alternative-currency settlement mechanisms to reduce reliance on Western-controlled payment infrastructure, though these arrangements remain more workable for large public sector and energy transactions than for MSME-scale trade, a gap discussed further in Chapter 10.

7.3 Trade Barriers

The principal barriers constraining growth in Indian exports to Russia include the accumulation of rupee balances that Russian counterparties have found difficult to repatriate or deploy, given capital control and currency convertibility constraints; lengthy Russian regulatory and customs procedures for certain product categories, particularly pharmaceuticals and processed foods, as noted in Section 5.12; underdeveloped direct shipping and logistics capacity; and limited awareness among Indian MSME exporters of Russian market entry requirements. Non-tariff barriers, including certification and standards divergence, further constrain smaller Indian exporters that lack the scale to navigate Russian regulatory processes independently.

7.4 Future Opportunities

Closing the trade imbalance and progressing toward the USD 100 billion target will require diversification of Indian exports well beyond the current pharmaceuticals-and-engineering-goods base, drawing on the sector opportunities identified throughout Chapter 5, particularly agricultural machinery, food processing, chemicals, IT services, and consumer goods left vacant by departed Western suppliers. CCI India's role in trade facilitation, including a dedicated MSME export readiness programme and the rupee-rouble utilisation mechanisms discussed in Chapter 13, is central to realising this diversification. Sustained progress will also depend on addressing logistics and payment-settlement bottlenecks that continue to constrain trade volumes, particularly for MSME exporters with limited capacity to absorb transaction delays or currency-conversion risks. Periodic monitoring of sector-wise export performance against the diversification targets would help CCI India and industry stakeholders recalibrate promotional efforts and address emerging constraints in a timely manner.

Chapter 8: Investment Opportunities

Russia occupies a modest position among sources of foreign direct investment into India, ranking 31st with cumulative FDI of approximately USD 1.32 billion between April 2000 and September 2025, while Indian investment into Russia, concentrated historically in the energy sector through entities such as ONGC Videsh and the Nayara Energy stake structure, likewise remains modest relative to the two countries' combined economic scale.

Both governments have set a target of USD 50 billion in mutual investment by 2030, alongside the USD 100 billion trade target, and identify investment facilitation as a distinct priority requiring dedicated institutional support.

8.1 Priority Investment Sectors

Building on the sector analysis, the most promising near-term investment opportunities for Indian capital lie in pharmaceutical and API manufacturing joint ventures within Russia, agricultural machinery manufacturing and assembly (Section 5.11 and Chapter 11), IT and cybersecurity services delivery, and downstream participation in nuclear and heavy engineering supply chains linked to Kudankulam. For Russian capital into India, energy sector expansion, including further downstream refining investment following the Rosneft-Nayara Energy model, and potential participation in India's nuclear and renewable energy expansion, represent the most active channels.

8.2 Investment Facilitation Mechanisms

Bilateral investment facilitation currently operates primarily through the Inter-Governmental Commission on Trade, Economic, Scientific, Technological and Cultural Cooperation and sector-specific working groups established under the 2025 Strategic Areas Programme. Indian investors in Russia continue to face practical constraints around currency repatriation, insurance for cross-border capital, and the absence of a bilateral investment treaty offering the dispute-resolution protections available in India's agreements with other partners.

Role of CCI India

CCI India can establish an Investment Facilitation Desk to guide Indian companies through Russian entity registration, currency repatriation mechanisms, and regional investment incentive schemes; convene an annual India-Russia Investment Forum alongside the CEO Roundtable mechanism described in Chapter 13; and advocate, through appropriate government channels, for the negotiation of updated bilateral investment protections reflecting the current scale of economic engagement.

Chapter 9: Startup Ecosystem

Russia's startup ecosystem, though far smaller than India's, has continued to develop despite the constraints imposed by sanctions on cross-border venture capital flows. The ecosystem grew by an estimated 19.7 per cent in 2025, ranking 34th globally with approximately 1,969 active startups and total startup funding exceeding USD 766.74 million, concentrated heavily in Moscow.

9.1 Innovation Hubs, Incubators and Accelerators

The Skolkovo Foundation, established in 2010 and often described as Russia's answer to Silicon Valley, remains the anchor institution of the Russian innovation ecosystem, organised around five clusters: information technology, energy efficiency, biomedical technology, nuclear technology, and space technology and telecommunications. Skolkovo Ventures operates dedicated venture funds across information technology, industrial technologies, and agro- and energy-efficient technologies, while the Skoltech Institute of Science and Technology, established in partnership with the Massachusetts Institute of Technology, supports the ecosystem's research pipeline. The Fund for Assistance to Small Innovative Enterprises (FASIE) provides grant funding to small technology companies, and Technopolis Moscow offers special economic zone incentives including cleanroom facilities for microelectronics and biotechnology startups. Since 2022, however, cross-border capital raising by Russian venture funds has been largely suspended, concentrating portfolio outcomes on domestic mergers, acquisitions, and listings on the Moscow Exchange rather than international exits.

9.2 Comparison with India

India's startup ecosystem is substantially larger and more internationally integrated, supported by the Startup India framework, an extensive domestic and international venture capital base, and a deep pool of unicorn and soonicorn companies across fintech, e-commerce, SaaS, and deep-tech. Where the Russian ecosystem has been constrained by international capital isolation since 2022, India's ecosystem has continued to attract global investment, giving Indian startups a comparative advantage in access to capital, talent mobility, and global market reach that Russian counterparts currently lack.

9.3 Opportunities and the Role of CCI India

Given the asymmetry between the two ecosystems, the most realistic near-term cooperation model is not equity investment flows in either direction but structured knowledge exchange, joint pilot projects between Indian startups and Russian corporates or research institutions (particularly in AgriTech, given Rostselmash and Skolkovo's own agro-technology cluster), and support for Indian MSMEs and startups exploring the Russian market as an alternative destination to Western markets that have become more competitive or, for some sectors, less accessible.

Role of CCI India

CCI India can establish a Startup Exchange Programme connecting Indian startups with Skolkovo and other Russian innovation hubs for pilot collaborations, particularly in AgriTech, IT services, and fintech; convene a Women Entrepreneur Network and Youth Entrepreneur Exchange with Russian counterpart institutions; and support MSMEs and early-stage Indian companies with market-entry guidance specific to the Russian regulatory and business environment, consistent with the institutional roadmap detailed in Chapter 13.

Chapter 10: FinTech and the Digital Economy

Financial technology and digital payments form a critical enabling layer for the entire India-Russia economic relationship, given that exclusion of major Russian banks from SWIFT has made alternative payment and settlement mechanisms a precondition for scaling bilateral trade beyond its current energy-dominated base.

10.1 Digital Banking and Payment Systems

Russia's domestic Mir payment system and the System for Transfer of Financial Messages (SPFS), its SWIFT alternative, underpin most Russian domestic and a growing share of cross-border financial transactions. India's Unified Payments Interface (UPI), operated by the National Payments Corporation of India, has become the dominant domestic digital payment rail and has been progressively extended to selected international partners. Discussions on UPI-Mir interoperability have continued as a means of easing bilateral trade settlement, particularly for smaller transactions that current rupee-rouble mechanisms handle poorly.

10.2 Digital Finance, AI and Cybersecurity in Financial Services

Russian banks have invested significantly in AI-driven credit scoring, fraud detection, and customer service automation, partly to compensate for the loss of Western banking software following sanctions, creating potential opportunities for Indian fintech and enterprise software companies with proven AI and cybersecurity capability, as discussed in Section 5.10, to serve Russian financial institutions seeking non-Western technology partners.

10.3 Opportunities for Indian FinTech Companies

Indian fintech companies with expertise in digital lending infrastructure, payment gateway technology, and regulatory-technology solutions are well placed to explore partnerships with Russian financial institutions and payment processors, subject to the sanctions-compliance considerations that apply across the financial sector. Cross-border remittance and trade-finance digitisation, in particular, represent areas where Indian fintech innovation could materially ease the MSME-scale trade friction described in Chapter 7.

Role of CCI India

CCI India can convene a dedicated FinTech and Digital Payments Working Group to support Indian companies exploring UPI-Mir interoperability pilots and related cross-border payment solutions, working alongside the Reserve Bank of India and National Payments Corporation of India, and can maintain compliance guidance for financial-sector engagement given the particular sensitivity of this sector under sanctions frameworks.

Chapter 11: Agricultural Machinery

Agricultural machinery is among the most concrete and fastest-growing areas of India-Russia industrial cooperation, and one where Indian manufacturers have already established a market presence rather than merely identified an opportunity. Russia's acute need for modernised farm equipment, constrained by high domestic credit costs and the withdrawal of Western suppliers such as John Deere and CLAAS's full product range, has opened space for both Chinese and Indian manufacturers, with Chinese agricultural machinery shipments to Russia having grown 24-fold between 2017 and 2023.

11.1 Indian Manufacturers Active in the Russian Market

- International Tractors Limited (Solis brand): entered a partnership with Russian manufacturer KTZ in 2023 to launch small and medium-power tractor production, with output expected to exceed 16,000 units by 2031.
- TAFE (Tractors and Farm Equipment Limited), India's largest tractor manufacturer: expanding its Russian presence through a network of authorised distributors and service centres.
- Sonalika: supplying tractors to the Russian market alongside Solis under the growing Indian-brand segment.
- Kartar Agro Industries: signed a dealership agreement to distribute tractors and mounted implements in Russia.
- Indian tyre manufacturers (BKT, ATC, MRL, Mahansaria) and Apollo Tyres: have significantly expanded exports of agricultural and commercial tyres to Russia, filling the niche left by departed European brands.

11.2 Russian Domestic Manufacturing Context

Rostselmash, Russia's largest domestic agricultural machinery producer, has itself faced demand contraction, suspending elements of production in 2025 amid high interest rates and export duty pressures on farmers, even as it continues to localise tractor and transmission manufacturing to reduce import dependence. This combination of Russian domestic capacity constraints and high Chinese import growth defines the competitive landscape Indian manufacturers must navigate.

11.3 Precision Agriculture and Smart Farming

Beyond machinery hardware, opportunities exist in precision agriculture technology, including satellite-guided planting and harvesting systems, farm management software, and soil and crop analytics, areas in which Indian AgriTech startups, discussed in Chapter 9, could complement Indian tractor and implement manufacturers already active in the Russian market.

Role of CCI India

CCI India can convene an Agricultural Machinery and AgriTech Business Council bringing together the Indian manufacturers already active in Russia with prospective new entrants, support these companies in navigating Russian import duty and localisation requirements, and connect Indian AgriTech startups with Russian distributors and farm cooperatives to bundle precision-agriculture software with existing Indian equipment sales.

Chapter 12: Automobile Industry

The Russian passenger vehicle market has been transformed since 2022 by the exit of Western and Japanese-Western joint venture manufacturers and the rapid entry of Chinese brands, which now account for more than 40 to 50 per cent of new passenger car sales, alongside the domestic leader AvtoVAZ (Lada), whose market share has been under sustained pressure despite continued government support and procurement preference.

12.1 Market Structure

Lada remains the single largest-selling brand by unit volume, at approximately 25 to 28 per cent share, though its sales have declined year-on-year, while Chinese brands including Haval, Chery, Geely, and localised joint ventures such as BelGee and Tenet have captured the growth in both passenger vehicles and, even more markedly, commercial trucks. Electric vehicle penetration remains marginal, at roughly 1.4 per cent of total sales, and is itself dominated by Chinese brands, indicating limited near-term opportunity in Russian EV manufacturing specifically.

12.2 Opportunities for Indian Auto Component Manufacturers

Direct Indian passenger vehicle sales in Russia remain negligible given the scale advantage Chinese manufacturers have established, but Indian auto component manufacturers, particularly in forgings, castings, tyres (as detailed in Section 11.1), and aftermarket parts, have a more realistic opportunity to supply both the domestic AvtoVAZ supply chain and the localising Chinese joint-venture assembly plants operating in former Western factories, which continue to seek diversified, cost-competitive component sourcing outside China itself.

Role of CCI India

CCI India can position Indian auto component manufacturers as a diversification option for both AvtoVAZ and localised Chinese assembly operations in Russia, convene supplier-matching sessions at automotive trade fairs, and monitor the developing EV and localisation policy environment for any emerging opportunity for Indian component or assembly participation.

Chapter 13: The Role of CCI India

This chapter consolidates, in actionable form, the specific institutional mechanisms through which CCI India can strengthen India-Russia economic, commercial, technological, and industrial cooperation. The recommendations draw together the sector-specific roles for CCI India identified throughout Chapters 5 through 12 and organise them into eleven cross-cutting institutional programmes, each with a defined objective, implementation mechanism, key stakeholders, expected outcomes, and suggested timeline. Together, these programmes constitute CCI India's institutional roadmap for its role as a bridge between the Indian and Russian business communities over the coming decade.

13.1 Trade Promotion, Export Readiness and Business Matchmaking

To expand and diversify Indian exports to Russia beyond the current pharmaceuticals-and-engineering-goods base, and to reduce the transaction costs facing Indian MSME exporters entering the Russian market.

- Implementation mechanism: a dedicated Trade Promotion and Export Readiness Cell offering document support, buyer-seller meets, reverse buyer missions, and participation in major Russian trade fairs; a Business Intelligence Desk providing sector and regulatory briefings to member companies; and structured business-matchmaking sessions ahead of bilateral trade missions.
- Key stakeholders: Indian MSME exporters, sector industry associations, the Department of Commerce, Indian missions in Russia, and Russian regional chambers of commerce.
- Expected outcomes and potential impact: increased number of first-time Indian MSME exporters to Russia, a measurable narrowing of the trade imbalance described in Chapter 7, and improved compliance and documentation quality reducing customs delays.
- Suggested timeline: Short-term (Years 1-2): establish the cell and begin trade missions; Medium-term (Years 3-5): scale to sector-specific missions annually.

13.2 Bilateral Institutional Platforms

To provide durable institutional channels for sustained dialogue between Indian and Russian businesses, beyond the ad hoc engagement that characterises much of current bilateral commerce.

- Key stakeholders: CCI India leadership, Russian regional chambers and business associations, state industry departments, and the Ministry of External Affairs.
- Suggested timeline: Short-term: launch the Business Council and first Economic Forum; Medium-term: expand to five or more state-to-region partnerships; Long-term (Years 5-10): institutionalise as a permanent annual fixture.

- Implementation mechanism: a standing India-Russia Business Council, sector-specific task forces mirroring the chapters of this report (energy, pharmaceuticals, agricultural machinery, IT, and others), an annual India-Russia Economic Forum, recurring CEO Roundtables, and state-to-region and district-level cooperation agreements linking Indian states with Russian regions.
- Expected outcomes and potential impact: a predictable annual calendar of high-level engagement that reduces reliance on state-visit-linked business delegations alone, and deeper region-to-region economic linkages beyond Moscow and Delhi.

13.3 MSME, Startup and Entrepreneur Networks

To extend the benefits of India-Russia economic cooperation beyond large public sector and energy enterprises to MSMEs, startups, women entrepreneurs, and young entrepreneurs on both sides, addressing the gap identified in Section 5.21.

- Implementation mechanism: a Startup Exchange Programme with Skolkovo and other Russian innovation hubs (detailed in Chapter 9), an MSME Partnership Cell, a Women Entrepreneur Network, a Youth Entrepreneur Exchange, and facilitated introductions to venture capital and startup funding networks on both sides.
- Key stakeholders: Indian and Russian MSME associations, Skolkovo Foundation, Startup India, women's and youth entrepreneurship bodies, and venture capital networks.
- Expected outcomes and potential impact: a growing pipeline of MSME-to-MSME trade and pilot partnerships, and greater participation of women-led and youth-led enterprises in bilateral commerce.
- Suggested timeline: Short-term: pilot exchange cohorts; Medium-term: formalise as a recurring annual programme with measurable participation targets.

13.4 Innovation, Technology Transfer and Research Collaboration

To build durable, non-sanctioned channels for technology and knowledge exchange between Indian and Russian innovation ecosystems, universities, and research institutions, particularly in AgriTech, IT, and applied sciences.

- Implementation mechanism: innovation platforms convening Indian and Russian research institutions, structured technology transfer arrangements consistent with export control frameworks, university-to-university collaboration agreements, joint R&D grant programmes, and skill development partnerships in technical trades facing shortages on the Russian side, as noted in Section 6.3.
- Key stakeholders: Indian and Russian universities, Skoltech, Indian Institutes of Technology and other research institutions, and relevant ministries of science and technology.
- Expected outcomes and potential impact: a small but growing portfolio of joint research projects and formal university partnership agreements, and enhanced faculty and student exchange.

13.5 Supply Chain, Manufacturing and Industrial Cooperation

To translate the manufacturing and heavy engineering opportunities identified in Sections 5.7, 5.8, and 5.9 into concrete supply-chain partnerships, joint ventures, and industrial park collaboration.

- Implementation mechanism: supply-chain partnership facilitation for Indian component manufacturers seeking entry into Russian and Russian-partnered joint venture supply chains, support for structuring India-Russia manufacturing joint ventures, and exploration of dedicated industrial park arrangements for Indian manufacturers in Russian special economic zones.
- Key stakeholders: Indian heavy engineering and component manufacturers, HAL, BrahMos Aerospace and other public sector integrators, and Russian industrial partners and regional development authorities.
- Expected outcomes and potential impact: an expanding roster of Indian MSME suppliers integrated into Russian and joint venture manufacturing supply chains.
- Suggested timeline: Medium-term: identify and onboard initial supplier cohorts; Long-term: establish at least one dedicated industrial park partnership.

13.6 Agriculture and Farm Mechanisation Partnerships

To build on the concrete market presence Indian tractor and implement manufacturers have already established in Russia, as detailed in Chapter 11, and extend it to precision agriculture and smart farming technology.

- Implementation mechanism: the Agricultural Machinery and AgriTech Business Council described in Section 11.3, farm mechanisation demonstration programmes with Russian agricultural cooperatives, and bundling of Indian AgriTech software with existing equipment sales channels.
- Key stakeholders: International Tractors Limited, TAFE, Sonalika, Kartar Agro Industries, Indian AgriTech startups, and Russian farm cooperatives and regional agriculture departments.
- Expected outcomes and potential impact: increased market share for Indian agricultural machinery brands in the vacuum left by Western suppliers, and new revenue streams from bundled AgriTech software and services.
- Suggested timeline: Short-term: convene the Business Council; Medium-term: scale precision-agriculture pilot programmes.

13.7 Digital Economy, AI, FinTech and Cybersecurity Cooperation

To position Indian technology, fintech, and cybersecurity companies to serve Russian import-substitution demand, as detailed in Sections 5.10 and 5.23 and Chapter 10, while maintaining rigorous sanctions-compliance discipline.

- Implementation mechanism: the Digital Economy and IT Services Working Group and FinTech and Digital Payments Working Group described in earlier chapters, structured support for UPI-Mir interoperability discussions alongside the National Payments Corporation of India, and a standing compliance advisory function.
- Key stakeholders: Indian IT services, cybersecurity, and fintech companies, the Reserve Bank of India, National Payments Corporation of India, and Russian system integrators and financial institutions.
- Expected outcomes and potential impact: expanded Indian technology company presence in the Russian import-substitution market, and a functioning cross-border payment mechanism that eases MSME-scale trade settlement.
- Suggested timeline: Short-term: establish working groups; Medium-term: achieve at least a pilot-stage payment interoperability mechanism.

13.8 Sector-Specific Strategic Partnerships: Pharmaceuticals, Energy and Logistics

To deepen institutional support for the three sectors identified throughout this report as offering the most substantial and durable opportunity for India: pharmaceuticals (Section 5.12), nuclear and renewable energy (Sections 5.14 and 5.15), and logistics and connectivity (Section 5.18).

- Implementation mechanism: a Pharmaceutical and Healthcare Business Council supporting regulatory navigation, a Renewable Energy and Green Hydrogen dialogue, continued engagement on Kudankulam supply chain indigenisation, and advocacy for operationalising INSTC and Chennai-Vladivostok corridor cargo services through the Logistics and Connectivity Task Force.
- Key stakeholders: Indian pharmaceutical and API manufacturers, NPCIL and the Department of Atomic Energy, Indian renewable energy and green hydrogen companies, and Indian shipping lines and freight forwarders.
- Expected outcomes and potential impact: expanded Indian pharmaceutical market share, greater Indian industrial content in nuclear and renewable energy cooperation, and measurable improvement in bilateral logistics costs and transit times.
- Suggested timeline: Short-term: establish councils and task forces; Medium-term: achieve measurable improvement in at least one logistics corridor; Long-term: sustained sector leadership across all three areas.

13.9 Tourism, Cultural Diplomacy and Regional Cooperation

To build on the tourism growth trends described in Section 5.19 and deepen people-to-people ties that underpin the broader economic relationship.

- Implementation mechanism: the Tourism and Hospitality Business Council described in Chapter 5, joint cultural diplomacy initiatives with the Embassy of the Russian Federation (Chapter 3), and regional cooperation programmes linking Indian and Russian cities through sister-city and cultural-exchange arrangements.

- Key stakeholders: Indian travel operators, hoteliers and airlines, the Embassy of the Russian Federation in India, and Indian and Russian tourism ministries.
- Expected outcomes and potential impact: continued growth in bilateral tourist arrivals and stronger cultural familiarity supporting broader commercial ties.
- Suggested timeline: Short-term: launch the Business Council; Medium-term: establish at least three active sister-city or cultural-exchange arrangements.

13.10 Policy Advocacy, Regulatory Dialogue and Sustainability

To ensure that Indian government policy and Russian regulatory practice evolve in ways supportive of the trade and investment diversification goals set out in this report, and to embed environmental, social and governance considerations into bilateral economic cooperation.

- Implementation mechanism: structured policy advocacy on the bilateral investment protection gap identified in Section 8.2, ongoing regulatory dialogue on pharmaceutical and food product registration timelines (Section 5.12), and ESG and green economy cooperation initiatives linked to the renewable energy and green hydrogen dialogue.
- Key stakeholders: the Department of Commerce, Ministry of External Affairs, Reserve Bank of India, and relevant Russian ministries and regulatory bodies.
- Expected outcomes and potential impact: improved regulatory predictability for Indian businesses operating in Russia and a credible sustainability dimension to CCI India's institutional positioning.
- Suggested timeline: Medium-term: formalise regulatory dialogue channels; Long-term: achieve updated bilateral investment protections.

13.11 Knowledge Reports and Institutional Research Capacity

To sustain CCI India's role as a source of rigorous, policy-relevant research on India-Russia economic cooperation, of which this report is the founding example.

- Implementation mechanism: an annual or biennial update cycle for this Knowledge Report, sector-specific briefing notes issued between full report cycles, and a standing Research and Data Analytics function within CCI India dedicated to tracking bilateral trade, investment, and sector developments.
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- Key stakeholders: the CCI India Research and Data Analytics Division, government ministries, and multilateral institutions that rely on such research for policy formulation.
- Expected outcomes and potential impact: a sustained reputation for CCI India as the reference institution for India-Russia economic knowledge, directly supporting the effectiveness of all other programmes described in this chapter.
- Suggested timeline: Short-term: establish the update cycle; Long-term: institutionalise as a permanent CCI India function.

Chapter 14: Strategic Roadmap (2026-2035)

14.1 Short-Term: Years 1-2 (2026-2028)

- Establish the Trade Promotion and Export Readiness Cell, Business Intelligence Desk, and the standing India-Russia Business Council.
- Convene the first India-Russia Economic Forum and the sector-specific working groups for IT services, FinTech, agricultural machinery, and pharmaceuticals.
- Launch pilot cohorts of the Startup Exchange Programme and the Tourism and Hospitality Business Council.
- Begin the annual Knowledge Report update cycle and establish the Research and Data Analytics function on a permanent footing.

14.2 Medium-Term: Years 3-5 (2028-2031)

- Scale trade promotion activity to sector-specific missions on an annual basis, targeting measurable diversification of Indian exports beyond pharmaceuticals and engineering goods.
- Expand state-to-region cooperation agreements to at least five active Indian state-Russian region partnerships.
- Achieve at least a pilot-stage UPI-Mir payment interoperability mechanism to ease MSME-scale trade settlement.
- Establish the first joint university research agreements and formalise the MSME and Women Entrepreneur Networks with measurable participation targets.

14.3 Long-Term: Years 5-10 (2031-2035)

- Institutionalise the India-Russia Economic Forum and CEO Roundtables as permanent annual fixtures of the bilateral economic calendar.
- Support progress toward the governments' USD 100 billion trade and USD 50 billion investment targets through a materially narrowed trade imbalance.
- Achieve sustained Indian industrial content in nuclear, renewable energy, and defence manufacturing supply chains linked to Kudankulam and related programmes.
- Secure updated bilateral investment protections reflecting the scale of India-Russia economic engagement.

Conclusion

Russia remains a strategically significant, if structurally challenged, economic partner for India. Its reorientation toward Asia, the effects of international sanctions, a deepening demographic crisis, and an economy still overwhelmingly dependent on hydrocarbon exports together define both the constraints and the opportunities examined throughout this report. For India, the central opportunity lies not in replicating the scale of China's engagement with Russia, which no Indian sector can realistically match, but in occupying the specific niches where Indian industry holds genuine comparative advantage: pharmaceuticals, where India has already become Russia's leading supplier; agricultural machinery, where Indian manufacturers have established a concrete market presence; IT services and cybersecurity, where India's global standing is well suited to Russia's import-substitution demand; and nuclear energy, where the Kudankulam partnership already represents one of the most mature industrial relationships between the two countries.

Realising the USD 100 billion trade and USD 50 billion investment targets that both governments have set for 2030 will require sustained institutional facilitation rather than reliance on periodic state visits and summit-linked business delegations alone. The eleven institutional programmes and phased roadmap set out in Chapters 13 and 14 of this report are intended to provide CCI India with precisely that sustained institutional capacity: a standing set of mechanisms through which Indian businesses, particularly MSMEs and startups that have historically been underserved in this relationship, can access the Russian market with the same rigour, support, and continuity that CCI India applies to its work across other bilateral economic relationships.

CCI India is committed to playing this role over the coming decade, and to updating this Knowledge Report on a regular cycle so that its guidance to policymakers, industry leaders, and the wider business community remains grounded in the most current available evidence as the India-Russia economic partnership continues to evolve.

Beyond the specific sectors and mechanisms detailed in this report, the durability of the India-Russia economic partnership will ultimately rest on the ability of both sides to build institutional memory and continuity that outlasts individual transactions or delegations. CCI India, in this context, sees its role extending beyond facilitation to that of a knowledge steward consolidating lessons from early movers, flagging regulatory and logistical friction points to relevant authorities, and ensuring that Indian industry's engagement with Russia is informed by evidence rather than anecdote. It is this longer-term institutional commitment, rather than any single initiative, that will determine whether the ambitions set out in this report translate into a resilient and mutually beneficial economic relationship over the next decade.

THANK YOU

CCI India sincerely thanks Your Excellency for the warm hospitality and gracious interaction with our team. We greatly value the opportunity to discuss strengthening India–Russia bilateral trade and economic relations and look forward to deepening cooperation, expanding business engagement, and creating new avenues for trade, investment, and mutually beneficial partnerships between the two countries.



Strengthening Partnerships. Driving Shared Prosperity.

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